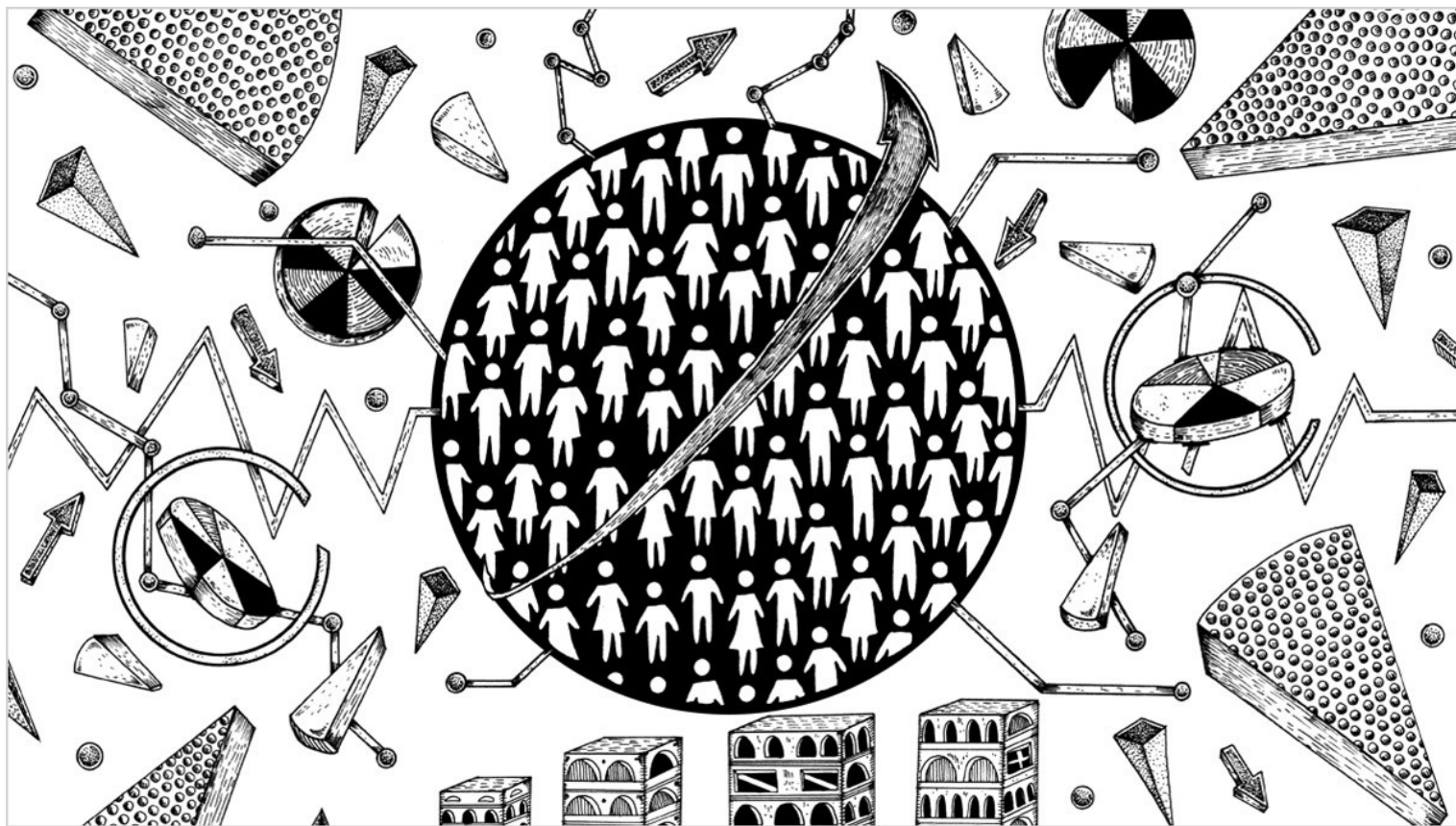


Psychographics Are Just as Important for Marketers as Demographics

by Alexandra Samuel

MARCH 11, 2016



LAURA SCHNEIDER FOR HBR

Marketers are used to thinking and speaking in *demographics*, since slicing a market up by age, gender, ethnicity and other broad variables can help to understand the differences and commonalities among customers. Think “our target audience is 14- to 34-year-olds” or “we are launching a campaign aimed at urban Latinos.” But *psychographics*, which measure customers’ attitudes and interests rather than “objective” demographic criteria, can provide deep insight that complements what we learn from demographics.

Until recently, however, it was a lot harder to get psychographics than demographics, and even if you had psychographic data, it wasn’t always obvious how to make it actionable. The internet has changed the relative importance of demographics and psychographics to marketers in three key ways: by making psychographics more actionable, by making psychographic differences more important, and by making psychographic insight easier to access.

To see the value of psychographics, let’s look at the case of the family tech market and what exactly gets missed when we assess that market through demographics alone (the subject of my presentation at SXSW). Yes, families with different incomes, or with younger and older kids, make somewhat different technology purchases. But their *reasons* for purchasing are much more closely tied to parent psychographics.

Parents who trust their kids to make their own tech decisions (whom I call “enablers”) tend to evaluate their tech purchases in terms of fun and entertainment value. Parents who focus on minimizing screen time (“limiters”) gravitate towards software and devices that support their kids’ literacy, math, and academic skills. Parents who actively guide and encourage their kids’ technology use typically look for purchases that offer a balance of fun and educational value, and that offer ways to engage and play as a family.

When you understand these kinds of psychographic differences, online marketing tools will make your insight actionable in a way that was nearly impossible before the heyday of Google, Facebook, and Twitter. Using psychographics allows you to do smarter keyword

targeting – for example, targeting one message about your programming game to parents who are searching for “kids programming” and another message to parents who are searching for “kids videogames fun.” Once you know the key differences in what your customers care about, you can target Facebook ads to parents who’ve liked specific pages or identified particular interests; you can figure out the hashtags that different psychographic groups use on Twitter, and target different tweets (or even different accounts) to those groups.

The internet has made these kinds of psychographic differences much more apparent and relevant to both consumers and marketers alike. It also makes it easier to find like-minded souls, so people spend more and more time engaging with people who share their particular interests and attitudes, even if they’re from a different community or country: those online tribes help to consolidate psychographic differences, and lead people to identify more and more with their communities of interest or value rather than their geographic or demographic community.

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At the same time – as anyone who’s ever read a YouTube comment thread can attest – online discussions are often intense and polarizing. The psychographic identities that develop and deepen online can erupt into active conflict between groups, which provides both opportunities and challenges for marketers. Conflicts can help you identify key psychographics: the Facebook arguments between pro- and anti-screen parents inspired my research into parents’ tech attitudes. But conflicts can also make it difficult to speak to your audience, since a marketing strategy that extolls the play value of a tech device would turn off some parents, while delighting others.

That’s exactly why psychographic data is so essential: it gives you a roadmap for navigating these types of divisions and sensitivities. Here, the latest generation of online research tools is a tremendous asset. Online customer communities let you ask about a range of consumer attitudes: my own data on 10,000 North American parents was gathered from two such communities. Social media analytics let you identify trends in interests and attitudes, and

even use sentiment analysis to help dig a little more deeply into psychographic attitudes. Social media monitoring is hugely valuable, too, since the organic conversations that emerge online may help you spot emerging issues or psychographic clusters.

While the internet has made psychographics more important than ever, today’s research, analytics, and ad targeting make it newly possible to turn those psychographics into the foundation of a robust market research and marketing strategy. Indeed, in the best-case scenario, thoughtful use of psychographics will help you develop not only the messages and campaigns but also the products and services that specific customers want and need.



Alexandra Samuel is a speaker, researcher and writer who works with the world’s leading companies to understand their online customers and craft data-driven reports like *Sharing is the New Buying*. The author of *Work Smarter with Social Media* (Harvard Business Review Press, 2015), Alex holds a Ph.D. in Political Science from Harvard University. Follow Alex on Twitter as @awsamuel.

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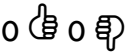
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Brent Walker a day ago

In my 20 year career at P&G, I led several psychographic segmentation projects in support of our healthcare brands. Now I've helped create a company using a psychographic segmentation model to successfully influence healthcare consumer behaviors. Psychographic insights are incredibly powerful, because they address motivations, or WHY people do what they do. Behavioral segmentation only tells WHAT people do without the motivational lens -- two people can behave the same way for very different reasons. Demographic segmentation falsely assumes everyone among a given gender, age, ethnicity, etc. think and act alike. Thanks for a great article!

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